



Foundations of Financial Accounting (ACC107)

Lecture 8
The Bank Reconciliation Statement
Chapter 19

Learning outcomes

- Explain the purpose and nature of bank reconciliations;
- Identify and correct errors and omissions in a cash book;
- Identify outstanding/unpresented items that are not yet in the bank statement; and
- Prepare a bank reconciliation statement.

Note: Cash book & petty cash book (Ch. 8 + Ch. 12)

- Difference between 'Petty Cash book' and 'Cash Book'
 - These topics are discussed in Ch. 8 & Ch. 12.
 - But, this lecture mainly focuses on the cash book only

Petty Cash book

- Cash receipts and cash paid are recorded
- Small amount of money for small expenses

Cash book

- **Used to record the detailed transactions of receipts and payments into and out of the bank account (by whatever means). This is written up from bank statement, credit card statements, paying in book stubs and cheque stubs.**

Example: paying-in book stubs and cheque book stubs

XYZ Bank plc
30 High Street, Seaville S021 6TH

Date 9-12-2005 Date 9-12-2005
Cashier's Stamp

Account MS. SARAH HOLMES
Paid in by Sarah Holmes

	£	p
Cash	31	87
Cheques	17	99
Total	49	86

Number of cheques 1

Sorting Code Number 76-54-32 Account Number 12345678

Total Cash 31 87
Cheques, P.O.s etc 17 99

£ 49-86

000000 765432 12345678

* **Paying-in book stubs** indicate the receipt through business bank account



bwc552361 Barewalls

* **Cheque book stubs** indicate the Payment through business bank account)

NatWest **KAREN MILLEN**

Pay Eileen Sills Date 21st November, 2014

Five thousand pounds only £ 5,000.00

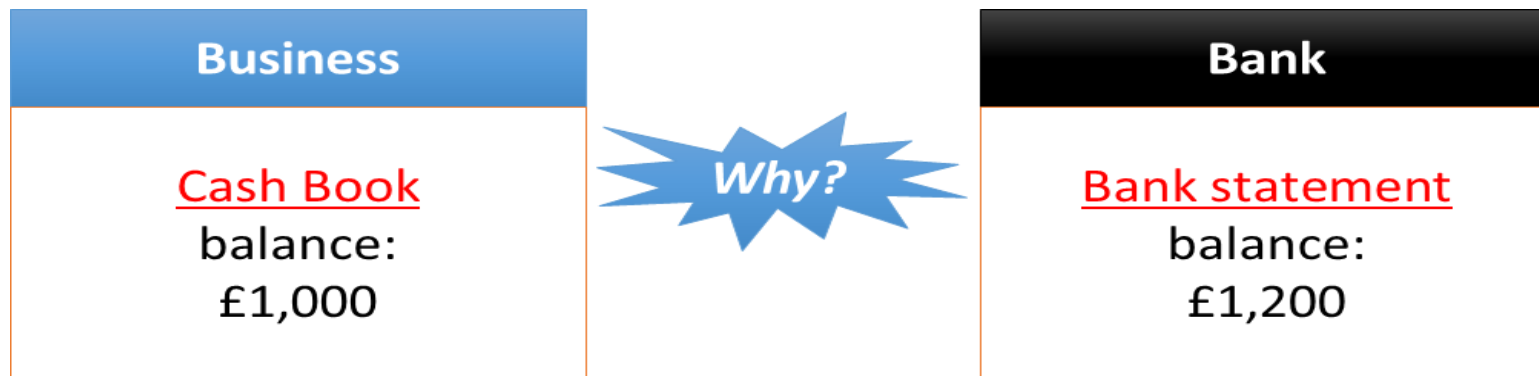
For and on Behalf of Karen Millen

Cheque No. 001234 Branch Sort Code 00-1122 Account No. 01234567

Sample cheque

The purpose of bank reconciliations (1/2)

- **Cash book** records all **the business's transactions** with the **bank (the business's records of the transactions)**
- **Bank statement** records all **the bank's transactions** with the **business. (the bank's records of the transactions)**
- May be thought that the contents of the cash book should be exactly the same as the record provided by the bank in the form of bank statement.
- However, in practice the **cash book** and **bank statement** are rarely the same and therefore a reconciliation is performed



The purpose of bank reconciliations (2/2)

A bank reconciliation enables the business to agree the cash book balance with the balance per the bank statement on a specific date

The main reasons for doing bank reconciliations

- To ascertain whether or not **the bank balance shown in the cash book** is correct by comparing **it with that shown on the bank statement** supplied by the bank.
- It also therefore **facilitates the location of errors and omissions** in the cash book.
- It has an important control function within the company's accounting systems

Reasons for difference between the cash book and bank statement

- What might cause the two balance to be different?
 1. Unrecorded items/Omissions (**Omitted from Cash book but already recorded on the bank statement**)
 2. Unpresented items/Outstanding items (**in the cashbook but not yet shown on the bank statement due to timing differences**)
 3. Errors

1. Unrecorded items (missing from cash book)

- Payments or receipts that are **on the bank statement** but which have **not** been entered **in cash book**
- **Unrecorded payments** - bank charges; bank interest payments; standing order/direct debit **from** the bank, dishonoured cheques; etc.
- **Unrecorded lodgements** - standing order/direct debit **to** the bank, receipt of dividends or interest into the bank account

=> The cash book should be adjusted and unrecorded items should be added to the cash book

2. Outstanding/Unpresented items (bank statement)

- Outstanding/Unpresented items are due to **timing differences**
- **Outstanding/unpresented payments** (cheques paid out by the business that have not yet appeared on the bank statement)
 - Credit entries in cash book
 - But, not shown on the bank statement
- **Outstanding/unpresented lodgements** (money paid into the bank by the business that has not yet appeared on the bank statement).
 - Debit entries in cash book
 - But, not yet shown on the bank statement

=> These will appear on the bank statement later as they are **timing issues**. However, we need to **adjust for these timing issues to reconcile our cash book with the bank statement**.

Real world Example: Cheque payment Procedures



Payer writes cheque
and records it in cash
book



Payer gives cheque to
payee



Payee presents cheque
to the bank

A screenshot of a bank statement from AIB. The statement shows a table with columns for Date, Details, Debit €, Credit €, and Balance €. The table lists transactions for June, including a balance, interest charged, mortgage repayment, interest adjustment, and a final balance. The amounts are illustrative.

Date	Details	Debit €	Credit €	Balance €
1 st June	Balance			100,000.00
1 st June	Interest Charged	1,000.00		
20 th June	Mortgage Repayment		1,500.00	
20 th June	Interest Adjustment		1.34	
30 th June	Balance			98,443.66

Bank transfers money
to the payee and
updates bank
statements

Timing difference between when the
cheque appears in cash book and on
the bank statement

3. Errors

- **Business's errors** => Should be adjusted in the cash book when calculating the corrected cash book balance
- **Bank's errors** => Should be allowed for when doing the bank reconciliation statement.

Note:

- If the bank makes a mistake we can't change their records. If we find a mistake on the bank's side we can inform the bank so that it can amend its records.
- However when conducting the reconciliation if there is a bank error we need to adjust for this when doing the bank reconciliation

Summary of Reasons for difference between the cash book and bank statement

Unrecorded Items

- **Omitted items** i.e. payments and receipts that are on the bank statement but which have not been entered in the cash book
- **Unrecorded payments** include - dishonoured cheques; bank charges; interest payments; standing orders/direct debit payments
- **Unrecorded lodgements** include - interest and dividends received by credit transfer; standing order/direct debits to our bank (received)

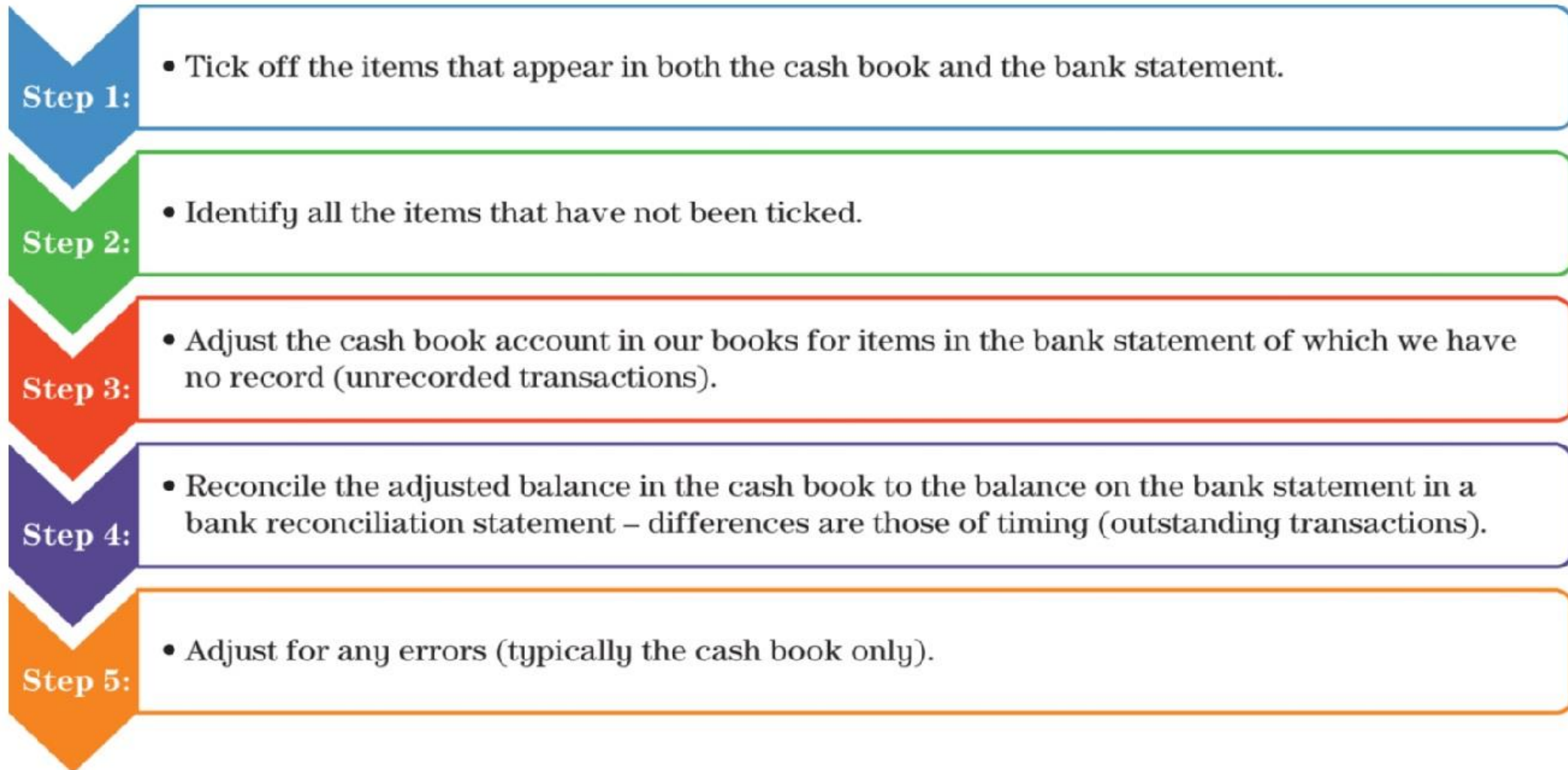
Unpresented/Outstanding Items

- Due to **timing differences**.
- Receipts and payments in the cash book that have **not** yet been entered by the bank **on the bank statement due to timing differences**
- **Unpresented/Outstanding lodgements** are debit entries in the cash book but are not on the bank statement (not yet cleared)
- **Unpresented/Outstanding payments** are credit entries in the cash book but are not on the bank statement (either the supplier has not yet put the cheque in the bank or the cheque has not yet cleared)

Other adjustments

- **Errors.** For example, a transposition error (a **cheque for £189** has been **entered into the cash book as £198**)
- An error could be an incorrect entry to the cash book (more likely) or an incorrect entry by the bank.

Bank reconciliation procedure



Study Note: Our examples usually skip step 1 and 2. If you want to see an example of steps 1 and 2 and how this process works in practice see worked example 19.1 in your textbook.

Bank reconciliation statements: the basic formula (textbook)

Starting with the Cash Book Balance

Balance per cash book – (Amended/Adjusted)*

Add: payments not yet presented (**outstanding/unpresented payments**)

Less: amounts not yet credited (**outstanding/unpresented lodgements**)

= Balance per bank statement

Reverse the addition and subtraction when **starting with the bank statement** balance.

* The balance per the cashbook is adjusted for any unrecorded items or errors affecting the cash book before producing the bank reconciliation statement

Remember the Purpose: We want to see if the **balances reconcile** after adjusting for these timing issues. If they don't reconcile then there might be an error in our cashbook.

Note on Debits and Credits in the Bank Statement

Note that **debits and credits are reversed in bank statements** because the **bank will be recording the transaction from its point of view.**

Books of Business (Business accounts i.e. cashbook)

Positive bank balance = Asset = Debit

Negative bank balance = Liability = Credit

Banks point of View (Bank statements)

Positive balance = Liability = Credit (bank owes you money)

Negative balance (overdraft) = Asset = Debit (you owe the bank money which is an asset for the bank)

ABC BANK LTD

RK Traders

East Broadway, Bloomington, Minnesota,
United States 55425

Statement No.:

005

From:

01 May 2020

To:

31 May 2020

Saving Account

Account No. 336000000902



STATEMENT OF ACCOUNT

Account Summary:

Opening Balance	—	Total DR	+	Total CR	=	Closing Balance
5 000.00 CR	—	2 207.40	+	3 910.04	=	6 702.64 CR

Date	Transaction detail	Debit	Credit	Balance
1-May	Statement opening balance			5 000.00 CR
2-May	0286 Cheque	300.00		4 700.00 CR
7-May	0288 Cheque	420.00		4 280.00 CR
10-May	DEPOSIT		918.17	5 198.17 CR
	0287 Cheque	319.60		4 878.57 CR
13-May	DEPOSIT		1 000.00	5 878.57 CR
14-May	DEPOSIT		474.37	6 352.94 CR
20-May	DEPOSIT		248.60	6 601.54 CR
22-May	DEPOSIT		385.00	6 986.54 CR
27-May	0290 Cheque	267.30		6 719.24 CR
28-May	DEPOSIT		500.00	7 219.24 CR
29-May	0291 Cheque	379.50		6 839.74 CR
29-May	DEPOSIT		383.90	7 223.64 CR
31-May	D/Cheque - Manju	500.00		6 723.64 CR
	D/CHEQUE FEE	15.00		6 708.64 CR
	ACCT KEEP FEE	6.00		6 702.64 CR
	CLOSING BALANCE			6 702.64 CR

End of Statement

Please advise the Bank of any error or unauthorized entries promptly

Proceeds of cheques included in deposits must not be drawn against until cleared.

Please refer overleaf for key to abbreviation used.

Debits and Credits from the bank's point of view are reversed.

Money going into the account

Cashbook = Debit

Bank Statement = Credit

Money going out of the account

Cashbook = Credit

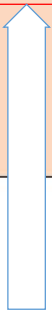
Bank Statement = Debit

Proforma cash book ledger account (textbook)

Before the adjustments,
Incorrect cash book balance



<i>Cash book</i>			
Bal b/d	XX	dishonoured cheque	XX
Unrecorded lodgements	XX	Unrecorded payments	XX
Errors	X	Errors	X
		Bal c /d (adjusted)	XX
	<u>XXX</u>		<u>XXX</u>
Bal b/d (adjusted)	XX		



A pro forma example of the entries required to adjust the cash book (ledger account) when performing a bank reconciliation

After the adjustments,
Correct cash book balance

Suggested format for lecture and tutorials

The textbook and the exercise solutions introduce several slightly different formats.

To avoid this confusion, the lecture and tutorials mainly use the format in the next slide.

Suggested format for lecture and tutorials

• <i>Adjust the Cash Book (Company) for unrecorded items & CB errors</i>	Cash book Closing balance £ XXX	
	Add:	
	Unrecorded lodgements	
	...	
	Less:	
• <i>Reconcile with Bank Statement by adjusting for unpresented items & bank errors</i>	Unrecorded payments	
	...	
	Correct balance/Amended Cash book balance £ XXX	
	Add:	
	Unpresented payments	
	...	
	Less:	
	Unpresented lodgements	
	...	
	Bank statement balance £ XXX	

Explanatory Note: In the **reconciliation part** we are **adjusting for any timing differences and any bank errors**. If the timing differences and bank errors provide a reconciliation of the two balances, the cash book balance is correct. Otherwise we need to investigate the reasons for the difference

Example 1

The bank statement of ABC Ltd at 31 December shows a balance of £2,500 in favour of the company, while the balance in the cash book for cash at bank is £2,400. Comparison with the cash book and further investigations reveal the following discrepancies:

	£
Unpresented cheques	840
Bank charges not in cash book.....	50
Uncredited lodgements.....	470
Dishonoured cheque not in cash book.....	140
Cheque payment deducted twice by the bank.....	.80

Required:

Calculate the corrected cash book balance and complete the bank reconciliation using the format provided

Example 1 – Provided format

Cash at bank as per bank column of the cash book	£2,400
Less:	
Corrected balance (Amended Cash book balance)	
Add:	
Less:	
Cash at bank as per bank statement	£2,500

Example 1 Solution

Cash at bank as per bank column of the cash book	£2,400
Less:	
Bank Charge	50
Dishonoured cheque	140
Corrected balance (Amended Cash book balance)	£2,210
Add:	
Unpresented Cheques	840
Less:	
Unpresented Lodgements	470
Error (Bank)	80
Cash at bank as per bank statement	£2,500

Example 2

- The following is a summary of Ami's cash book as presented to you for the month of December 20X6:

Cash Book			
	£		£
Receipts	1,469	Balance b/d	761
Balance c/d	554	Payments	1,262
	<u>2,023</u>		<u>2,023</u>

All receipts are banked and all payments are made by cheque.

On investigation you discover:

- Bank charges of £136 entered on the bank statement had not been entered in the cash book.
- Cheques drawn (written) by Amy amounting to £267 had not been presented to the bank for payment.
- A cheque for £22 had been entered as a receipt in the cash book instead of as a payment.
- A cheque drawn for £6 had been incorrectly entered in the cash book as £66.

Required:

Determine the balance shown on the bank statement at 31 December 20X6

Example 2

Cash at bank as per bank column of the cash book (Overdrawn)	£(554)
Add:	
Error (Business)	60
Less:	
Bank Charge	136
Error (Business; $22 \times 2=44$)	44
Correct balance (Amended Cash book balance)	£(674)
Add:	
Unpresented Cheques	267
Cash at bank as per bank statement	£(407)

Worked Example 19.2 (1/3)

The following is a summary from the cash book of Home Shopping Ltd for March 20X9:

<i>Cash book</i>			
	£		£
Opening balance b/d	5,610	Payments	41,890
Receipts	<u>37,480</u>	Closing balance c/d	<u>1,200</u>
	<u>43,090</u>		<u>43,090</u>

When checking the cash book against the bank statement the following discrepancies were found:

1. Bank charges of £80 shown in the bank statement have not been entered in the cash book.
2. The bank has debited a cheque for £370 in error to the company's account.
3. Payments totalling £960 have not yet been presented to the bank for payment.
4. Dividends received of £420 have been credited on the bank statement but not recorded in the cash book.
5. There are payments received of £4,840 that are entered in the cash book but not yet credited to the company's account by the bank.
6. A cheque for £170 has been returned by the bank marked 'refer to drawer' but no entry relating to this has been made in the books.
7. The opening balance in the cash book should have been £6,510 and not £5,610.
8. The bank statement shows that there is an overdraft at 31 March 20X9 of £1,980.

Worked Example 19.2 (2/3)

Required. Calculate the corrected cash book balance and prepare a bank reconciliation statement as at 31 March 20X9 using the following format.

		£
Cash book Closing balance		
Add:		
Less:		
Corrected/amended cash book balance		
Add:		
Less:		
Bank statement balance		

Worked Example 19.2 (3/3)

Cash book Closing balance		£1,200
Add:	Dividends	420
	Error in balance	900
Less:	Bank Charge	80
	Refer to drawer	170
Correct cash book balance £		2,270
Add:	Payments not yet presented	960
Less:	Amounts not yet credited	4,840
	Cheque debited in error*	370
Bank statement balance		£ (1,980)

Overdrawn

** The cheque debited in error is shown in the bank reconciliation statement rather than the cash book because it will presumably be corrected on the bank statement in due course and thus will not affect the cash book.*

MCQ1

Your cash book at 31 December 20X3 shows a bank balance of £565 overdrawn. On comparing this with your bank statement at the same date, you discover the following.

- (1) A cheque for £57 drawn by you on 29 December 20X3 has not yet been presented for payment.
- (2) A cheque for £92 from a customer, which was paid into the bank on 24 December 20X3, has been dishonoured on 31 December 20X3.

The correct bank balance to be shown in the statement of financial position at 31 December 20X3 is

- a) £714 overdrawn
- b) £657 overdrawn
- c) £473 overdrawn
- d) £53 overdrawn

Answer for MCQ1

Q1 Answer: B; £657 overdrawn = - £565-£92 (b);

Note: (a) doesn't affect the cashbook as it relates to a timing difference for an item that has not yet appeared on the bank statement.

MCQ2

The balance on a bank statement shows that a ACE Ltd has funds of £5,000 in its current account at 31 December 20X9. At that date, unpresented cheques are £9,000 and uncredited lodgements are £1,000. The correct balance on the cash book of ACE Ltd at 31 December 20X9 should be:

- a) £3,000 debit
- b) £3,000 credit
- c) £5,000 debit
- d) £5,000 credit

MCQ2 Solution

Q2. b

Cash at bank as per bank column of the cash book (Over Drawn)	£XXX
<i>Add...</i>	XXX
<i>Less...</i>	XXX
Correct balance (Amended Cash book balance)	£(3,000)
<i>Add:</i>	
Unpresented Cheques	9,000
<i>Less:</i>	
Unpresented Lodgements	1,000
Cash at bank as per bank statement	£5,000

Homework

- ▶ Review the content of this lecture
- ▶ Attempt the tutorial questions before your tutorial

Thanks for your listening

